

8.	24CV2535	MONTAZERI v. MONTAZERI et al
Demurrer		

This is fundamentally a dispute between father and son over the operation of a jointly owned mining business that is held by two LLCs. One LLC ("Hwy 193") owns real property and profits from mining activity performed on its property. The other LLC ("Chili Bar") performs the mining activity. Plaintiff (the son) owns a 20% interest in both entities, which were gifted to him by his father Mohsen Montazeri and mother Pamela Montazeri ("Defendants").

The Second Amended Complaint ("SAC") includes 3 causes of action: (1) Breach of Majority Owners' Fiduciary Duties; (2) Breach of Contract; and (3) Breach of Contract.

Defendants demur to the First and Second causes of action on the following grounds:

1. The First cause of action fails to state facts sufficient to constitute a valid cause of action against Pamela Montazeri;
2. The Second cause of action fails to state facts sufficient to constitute a valid cause of action for breach of contract.

Standard of Review - Demurrer

A demurrer tests the sufficiency of a complaint by raising questions of law. *Rader Co. v. Stone* (1986) 178 Cal.App.3d 10, 20. In determining the merits of a demurrer, all material facts pleaded in the complaint and those that arise by reasonable implication, but not conclusions of fact or law, are deemed admitted by the demurring party. (*Moore v. Conliffe*, 7 Cal.4th 634, 638; *Interinsurance Exchange v. Narula*, 33 Cal.App.4th 1140, 1143. **The complaint must be construed liberally by drawing reasonable inferences from the facts pleaded. *Flynn v. Higham* (1983) 149 Cal.App.3d 677, 679.**

Rodas v. Spiegel (2001) 87 Cal. App. 4th 513, 517.

Meet and Confer Requirement

Code of Civil Procedure §430.41(a) provides: Before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.

Code of Civil Procedure §430.41(a)(3):

The demurring party shall file and serve with the demurrer a declaration stating either of the following:

(A) The means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer.

(B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.

Dumas v. Los Angeles County Bd. of Supervisors (2020) 45 Cal. App. 5th 348 (“If, upon review of a declaration under section 430.41, subdivision (a)(3), a court learns no meet and confer has taken place, or concludes further conferences between counsel would likely be productive, it retains discretion to order counsel to meaningfully discuss the pleadings with an eye toward reducing the number of issues or eliminating the need for a demurrer, and to continue the hearing date to facilitate that effort”).

The parties engaged in the meet and confer process, albeit unsuccessfully. (Prendergast Declaration).

Request for Judicial Notice

Cal. Rules of Court, rule 3.1113(l), also covers judicial notice, requiring that “[a]ny request for judicial notice shall be made in a separate document listing the specific items for which notice is requested and shall comply with rule 3.1306(c).”

Defendants request that the Court take judicial notice regarding California Secretary of State filings or absence of documents, the Court’s October 10, 2025 Tentative Ruling, and the Court’s December 1, 2025 Minute Order.

Judicial notice is a mechanism which allows the court to take into consideration matters which are presumed to be indisputably true. California Evidence Code Sections 451, 452, and 453 collectively govern the circumstances in which judicial notice of a matter may be taken. While Section 451 provides a comprehensive list of matters that must be judicially noticed, Section 452 sets forth matters which *may* be judicially noticed. A trial court is required to take judicial notice of any matter listed in section 452 if a party requests it and gives the other party sufficient notice to prepare to meet the request. (Evidence Code § 453)

There is no objection by Plaintiff. Defendants’ request for judicial notice is granted.

First Cause of Action

The first cause of action for breach of fiduciary duty, which is asserted against Plaintiff’s mother, Pamela Montazeri, seeks to hold her liable for aiding and abetting an alleged tort, but Defendant argues that it does not allege any facts amounting to substantial assistance - a required element. “To plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the ‘specific primary wrong’ being committed, and gave

substantial assistance to the wrongful conduct." (*Goonewardene v. ADP, LLC* (2016) 5 Cal.App.5th 154, 188, revd.. on other grounds (2019) 6 Cal.5th 817 (citing *Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal.App.4th 1138, 1145, 1146-1147).) "Mere knowledge that a tort is being committed and the failure to prevent it does not constitute aiding and abetting." (*Fiol v. Doellstedt* (1996) 50 Cal.App.4th 1318, 1326.

Defendant argues that Plaintiff has not alleged any facts amounting to assistance, let alone substantial assistance, but instead the Complaint only contains only conclusory allegations. (SAC ¶ 44) The Court previously ruled that FAC sufficiently alleged that Mrs. Montazeri had actual knowledge but there was merely a conclusory allegation that she provided substantial assistance. However, in the SAC, Plaintiff alleges that Mrs. Montazeri "knowingly provided substantial assistance and encouragement to defendant Mohsen Montazeri...[by using] her voting power in Highway 193 to approve the breaches...." (SAC ¶ 44)

Therefore, the Court finds that the SAC sufficiently alleges that Mrs. Montazeri had actual knowledge and offered substantial assistance. Demurrer as to the first cause of action is overruled.

Second Cause of Action

To state a viable breach of contract claim, a plaintiff must plead and prove: (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff. (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.) A breach of contract is "[t]he wrongful, i.e., the unjustified or unexcused, failure to perform" the terms of a contract. (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 570; 1 Witkin, Summary of Cal. Law (11th ed. 2017) Contracts, §872, p. 919.)

As to the second cause of action, the Court previously found that the complaint failed to specifically allege sufficient facts to constitute a breach of contract cause of action. The Court additionally had concerns about the viability of the cause of action to the extent it is premised on an alleged threatened breach as opposed to an actual breach. After reviewing the terms, the Court finds that the SAC fails to allege facts sufficient to support a cause of action for breach of contract. Demurrer as to the second cause of action is sustained.

California law places a clear burden on the plaintiff to show that amendment would cure the defects identified in a demurrer. When a trial court sustains a demurrer without leave to amend, the plaintiff must demonstrate that "the trial court abused its discretion" and "show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading" (*Smith v. BP Lubricants USA Inc.*, 64 Cal.App.5th 138 (2021)). Plaintiff has already been given two chances to amend his initial pleading and has made minimal changes. In his opposition to the Demurrer, Plaintiff merely includes one sentence saying he "can easily cure any deficiency" but fails to show how amendment could cure the defect, or why it was not done in the two prior amendments. Leave to amend is denied.

TENTATIVE RULING #8:

- 1. DEFENDANTS' REQUEST FOR JUDICIAL NOTICE IS GRANTED.**
- 2. DEMURRER AS TO THE FIRST CAUSE OF ACTION IS OVERRULED.**
- 3. DEMRURER AS TO THE SECOND CAUSE OF ACTION IS SUSTAINED WITHOUT LEAVE TO AMEND.**

NO HEARING ON THIS MATTER WILL BE HELD UNLESS A REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 621-6551 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; LOCAL RULE 8.05.07; SEE ALSO LEWIS V. SUPERIOR COURT, 19 CAL.4TH 1232, 1247 (1999).

NOTICE TO ALL PARTIES OF A REQUEST FOR ORAL ARGUMENT AND THE GROUNDS UPON WHICH ARGUMENT IS BEING REQUESTED MUST BE MADE BY TELEPHONE OR IN PERSON BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; EL DORADO COUNTY LOCAL RULE 8.05.07. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.

LONG CAUSE HEARINGS MUST BE REQUESTED BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED AND THE PARTIES ARE TO PROVIDE THE COURT WITH THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. LONG CAUSE ORAL ARGUMENT REQUESTS WILL BE SET FOR HEARING ON ONE OF THE THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. THE COURT WILL ADVISE THE PARTIES OF THE LONG CAUSE HEARING DATE AND TIME BY 5:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. PARTIES MAY PERSONALLY APPEAR AT THE HEARING.